

now freelances in design and publicity, has left things to providence. As the monthly petrol bill for his Maruti 800 runs up to Rs 3,500-4,000, he has drastically cut down on his travel within the city and the occasional outing.

The rise in inflation comes despite fierce fire-fighting by Government. Every tried and tested recipe in the book has been deployed—monetary curbs, export curbs on essential items like cement, and the suspension of futures trading in staple foods such as rice and wheat. Finance Minister P. Chidambaram is on record saying that Government has put in place policies to increase food production and also strengthen the public procurement and distribution system in order to tackle the rise in food prices. So who and what is to blame for the misery?

Sure, policymakers and industry like to blame soaring global crude and food prices for the unabated rise in inflation. Rajeev Chandrasekhar, MP and president, FICCI, and Chandrajit Banerjee, director general, CII, see the current inflationary trend as arising largely out of global pressures and high food article prices.

The surge in oil prices, of course, is believed to be an overriding factor. With crude prices crossing \$130 per barrel, Government in the first week of June was forced to increase the price of the heavily-subsidised retail fuel, a move that is expected to push inflation above 10 per cent in the coming weeks. Government has stepped in with a customs duty cut of 5 per cent and an excise cut of Re 1 per litre on high-speed diesel and petrol. There is little chance of fuel prices softening with oil already past \$140 per barrel internationally.

As recent years have categorically shown, global increases in the prices of primary commodities and fuel have also taken their toll. Says Shubhashis Gangopadhyay, adviser to the finance minister, "International prices of rice and wheat have gone up due to production bottlenecks, drought and diversion of land for cultivation of bio-fuels."

Equally, there has been a gradual erosion in the actual buffer stock of foodgrains and there has been relatively lower procurement of both wheat and rice since January 2003. "What is worrisome is that since April 2005, the actual stock of wheat and rice has fallen even below the buffer norms," says L.K. Malhotra, president of the PHD Chamber of Commerce and Industry. The record procurement this year will address this.

There are other supply constraints too. India's population is growing at an average rate of 1.9 per cent annually, whereas the rate of foodgrain production has decelerated to 1.2 per cent during 1990-2007. With more mouths to feed and a lower supply, prices show no signs of coming down.

The same is the case with edible oil. Economic growth, rising incomes and changing dietary



KALYAN TALPATRA FREELANCER IN DESIGN AND PUBLICITY, NEW DELHI

FAMILY INCOME: Rs 5 lakh per annum

TRAVEL: Used to take an annual holiday but now plans to take one only once every two-three years

LIFESTYLE: Would go out to eat at least once a month, but now thinks twice before doing so

FUEL: The monthly petrol bill comes to around Rs 3,500-4,000. Has had to drastically cut down on travel within the city.

INVESTMENT: Had only made the investments way back in 1981 in LIC policies and with no fresh allocations of late.

"Thank God, I don't have to spend on my child's education. She is working now or I would not have been able to afford that either."

by Nivedita Mukherjee

MAHESH NARVEKAR PURCHASE OFFICER IN A JEWELLERY COMPANY, MUMBAI

FAMILY INCOME: Rs 4.68 lakh per annum

TRAVEL: Plans a trip to Goa later this year. Will travel only by train while air travel was a distinct possibility last year.

LIFESTYLE: The family has had to cut down on the consumption of non-vegetarian food by 50 per cent

FUEL: Earlier, petrol worth Rs 400 would last him 25 days on his bike. Now, with the higher prices, it lasts only 18 days.

INVESTMENT: Investments of Rs 35,000 to Rs 40,000 in LIC policies and mutual funds have seen only 7 per cent growth

"I cannot afford to buy a home that costs more than Rs 15 lakh. The increase in home-loan rates has affected my capacity to buy."

by Swati Mathur

BHASKAR PAUL

